Earnings update

Arista Q3 2026: AI and campus lift next year's estimates

4 November 2026 · Syz Research

> **"Our first look at 2027 guidance range puts us in the 38%–40% range for growth annually to approximately $18.5 billion."**
>
> Jayshree Ullal, Chairperson and CEO, Q3 2026 earnings call, 3 November 2026

Arista Networks sells Ethernet switches, routers and EOS software to cloud operators, AI data centres and enterprises. Products are 87% of revenue; 2026 revenue is guided at $13.3bn. Listed on the NYSE, market value about $214bn.

Key takeaways

Beat Revenue 9.7% above consensus and EPS 11% above the top of the guide; shares up 9% pre-market.

Raised First 2027 guide, $18.5bn or 38% to 40% growth, sits 14.5% above consensus; AI fabrics double to $7bn.

Watch Gross margin fell to 64.0% from 65.2% a year ago; 2027 is guided at 62% to 64%.

Valuation 32.8x forward earnings at the 3 November close; estimates aligned to 2027 guidance would cut it to 29x.

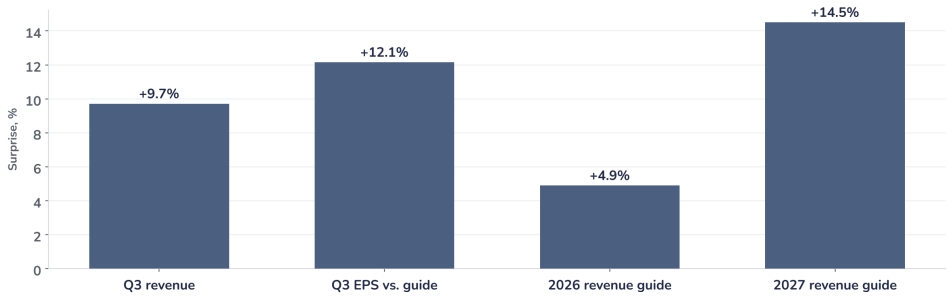
Revenue	Non-GAAP gross margin	Non-GAAP EPS	2027 revenue guide
$3.66bn	**64.0%**	**$1.20**	**$18.5bn**
+9.7% vs. consensus	+90bp vs. consensus	+12% vs. guide midpoint	+14.5% vs. consensus

The 2027 guide lifts the earnings base

Revenue beat consensus by 9.7%, the first 2027 guide sits 14.5% above it, and the shares rose about 9% in pre-market trading on 4 November, the session after the release: surprise and reaction are aligned. Growth accelerated to 58.5% on a $3.66bn base, and management commits to 38% to 40% more in 2027 at a 49% operating margin.

Chart 1 · ANET: Q3 2026 results and guidance vs. expectations

Surprise in %, reported or guided vs. pre-results consensus · Q3 EPS vs. the midpoint of the $1.06–1.08 guide · 2026 and 2027 guides at the midpoint



The largest surprise sits in 2027: the $18.5bn guide is 14.5% above the $16.2bn consensus, and management raised its 2026 outlook for the fourth time this year, to $13.3bn. The quarter came with operating leverage: non-GAAP operating income rose 60.1% to $1.80bn, faster than revenue, for a 49.1% margin, against 48.6% a year ago.

Base case and implications

The $18.5bn 2027 guide sits 14.5% above consensus at a 49% operating margin, so next year's earnings estimates should rise by a similar amount, taking the 32.8x forward multiple to about 29x on the pre-results price. The case remains very constructive and the risk/reward skewed to the upside: we underwrite 38% to 40% growth led by AI fabrics at $7bn and campus at $2bn. In our view, the 22% October fall cleared crowded positioning. The next test is the Q4 report in February.

What would strengthen our view

Q4 revenue above the $4.0bn top of the guide; a third and fourth customer above 10% of revenue; the $11.4bn of purchase commitments shipping with gross margin at 63% or more.

What would change our view

A 2027 gross margin below the 62% floor; inventory, now $3.2bn, rising faster than revenue; a capex cut at one of the large cloud customers or deferred revenue below $6.8bn.

Beyond the key takeaways

Results: AI and enterprise drove the beat

Product revenue rose 67% year on year to $3.19bn and services 18% to $468m, taking total revenue up 20.5% on the quarter to $3.66bn, with growth led by AI and enterprise customers. Non-GAAP gross margin of 64.0% came in above the 63% guide and 90bp above consensus on a favourable customer and product mix, 120bp below the 65.2% of Q3 2025. Operating expenses rose, yet non-GAAP operating income grew 60.1% to $1.80bn for a 49.1% margin, and EPS rose 56% to $1.20. Arista now counts more than 100 AI customers on its Etherlink platform and expects three to four customers above 10% of revenue in 2026, from two in 2025.

Surprise and reaction point the same way. Revenue beat consensus by 9.7% and EPS cleared the top of the guide by 11%, and the shares rose about 9% in pre-market trading on 4 November from a $169.91 close on 3 November. The confirmed drivers are the 2027 guide, 14.5% above consensus, the fourth raise to the 2026 outlook and purchase commitments of $11.4bn, up from $9.7bn at the end of Q2. The size of the move is consistent with lighter positioning, which we cannot confirm: the stock had fallen 21.6% from its 9 October record of $216.74 and 10.8% since the Q2 results.

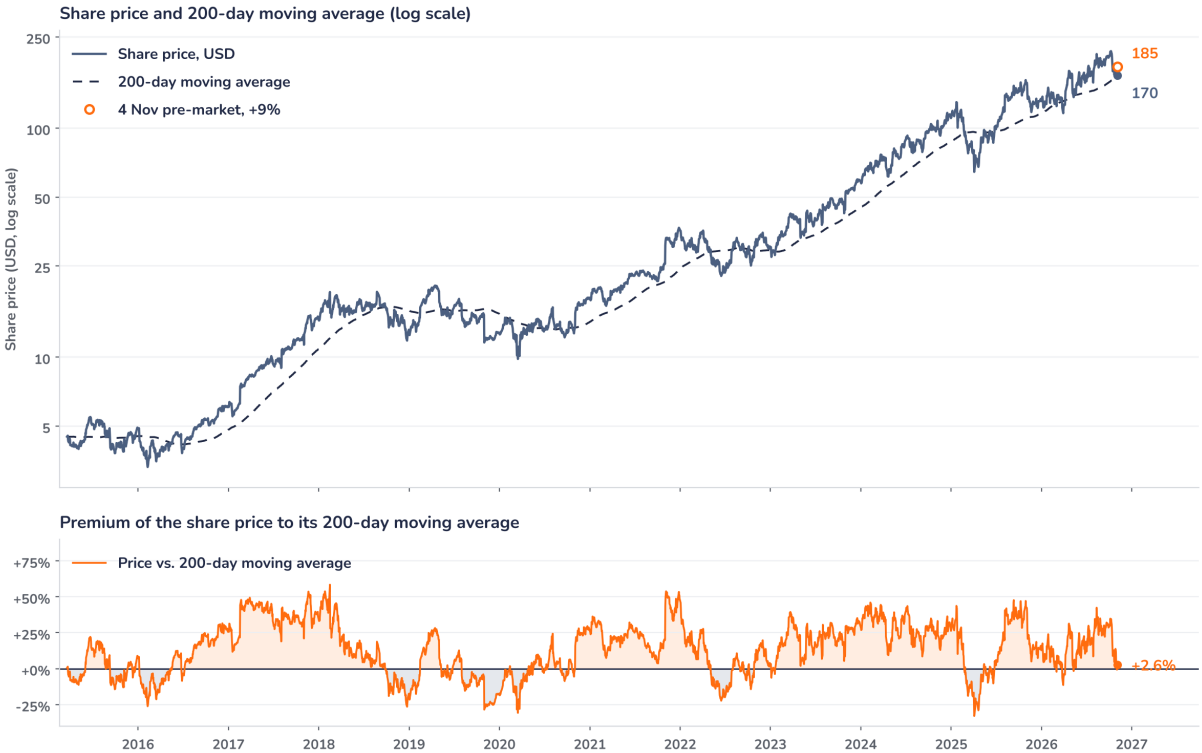
Outlook: a fourth raise and 38% to 40% next

For Q4, management guides to revenue of $3.9bn to $4.0bn, gross margin of 63% to 64%, an operating margin of 48% to 49% and EPS of $1.26 to $1.30 on 1.28bn shares, which puts 2026 revenue just over $13.3bn, up 48%. The first 2027 guide calls for 38% to 40% growth to $18.5bn, with AI fabrics doubling to about $7bn, campus up 60% to about $2bn, gross margin of 62% to 64% and an operating margin near 49%. Scale-up trials start in 2027 and production in 2028, so the guide excludes material scale-up revenue. Supply is better covered: inventory reached $3.2bn from $2.5bn and the CFO stated confidence in supply.

Valuation: earnings outran the share price

Chart 2 · ANET: share price vs. its 200-day moving average

Daily closes, March 2015 to 3 November 2026 (last price is the 3 November close, before the release) · 200-day simple moving average · Log scale · Premium shaded orange above, blue below · 4 November pre-market level indicative



The share price rose 7.8% over 12 months to $169.91, against Q3 EPS growth of 56%, so the multiple absorbed most of the earnings gain. The stock peaked at $216.74 on 9 October and fell 21.6% into the print, ending 2.6% above its 200-day moving average of $165.5 and 12.6% below its 40-day average of $194.4. The forward P/E stood at 32.8x on the 3 November close. If 2027 earnings estimates rise in line with the 14.5% revenue gap, the multiple drops to about 29x at that price and 31x after the pre-market gain.

SYZ Source: Syz Research, Bloomberg, company filings, Arista Networks release and earnings call of 3 November 2026, stockanalysis.com, analyst research notes of 23 October to 4 November 2026

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